Business Law in Canada

Chapter 3
The Resolution of Disputes



CIVIL WRONGS



Classification of Civil Wrongs

- Tort – e.g. negligence, defamation, assault, trespass etc.
- Breach of contract
- Statutory wrong – e.g. breach Residential Tenancies Act etc.
- Equitable wrong – the catch-all – e.g. fraud etc



Statutory Wrong



- e.g. Residential Tenancy Act

s. 9 If a landlord accepts a security deposit or a pet damage deposit that is greater than the amount permitted under subsection (1), the tenant may deduct the overpayment from rent or otherwise recover the overpayment.



- e.g. Trade-marks Act

s.53.2 Where a court is satisfied... that any act has been done contrary to this Act, the court may make any order...including an order ... for...injunction and the recovery of damages or profits...

Equitable Wrong
(“the catchall”)

- Bank mistakenly credits your account with money….it’s not “fair”…
- What can the bank do?
- Question of “trust”





Wrongs: Criminal and Civil

Criminal Wrong

- A wrong done by an individual against the state
- A crime – like murder
- Procedure: prosecution by Crown Prosecutor against Accused
- Purpose: to punish, deter, rehabilitate



Civil Wrong

- A wrong done by an individual against another individual
- A "cause of action" – like wrongful dismissal
- Procedure: lawsuit or legal action by plaintiff against defendant
- Purpose: to compensate for harm $$



How do you right civil wrongs?

- **Alternative Dispute Resolution "ADR"**
- **Litigation**
- **"Go to Court"**

Alternative Dispute Resolution

- Process for resolving disputes outside of the courts
- 3 Options:
  - Negotiation
  - Mediation
  - Arbitration



Negotiation



- "Self help"
- Parties discuss the problem together and try to find a solution – decision making is left in the hands of the disputing parties to work out for themselves
- Involves cooperation and compromise
- Goes better with good communication skills

- Effective negotiators use argument by similarity
- Parties may use representatives
- Process may make the relationship better
- But…the solution agreement may not be legally binding

Mediation



- Neutral outsider helps parties settle the dispute by coming to a resolution on their own
- Communication and agreement facilitated by mediator
  - Finds common ground
  - Encourages concessions

- Mediator does not make decision
- Mediation <u>sometimes</u> required before court will hear case
- Court may affirm mediated agreement

Arbitration



- Parties agree on an independent third party outsider to make a decision that will be binding on the parties in the matter under dispute
- A solution is imposed on the parties

- Often required in contract
- Arbitrators are often specialists in the matter under dispute

Alternatives to Court Action (2 of 2)

Table 3.1 Summary and Comparison of Litigation and ADR Methods

	Litigation	Arbitration	Mediation	Negotiation
Control	Low	Low	High	Highest
Delay	Lengthy	Moderate	Brief	Briefest
Cost	High	Moderate	Low	Low
Privacy	Low	Moderate	High	Complete
Flexibility	Low	Moderate	High	Highest
Goodwill	Unlikely	Possible	Likely	Ensured
Predictability	Low	Low	Reasonable	High
Appealability	Usually	Low	None	None
Visibility	High	Moderate	None	None

Advantages of ADR Versus Litigation

- Advantages
  - Parties to dispute maintain **control** of the solution
  - Fewer scheduling and procedural delays
  - Less distraction in ADR
  - **Lower costs** than associated with court process
  - Diminishes risk of adverse judgments
  - **Preserves good will**

Disadvantages of ADR Versus Litigation

- Disadvantages
  - Judicial fairness and impartiality are not ensured
  - **Courts have more power** to extract information
  - Decisions do **not follow precedent**
  - Resolutions may not be enforceable
  - **No public record** of dispute or decision

Arbitration



- Decision of arbitrator is binding on the parties

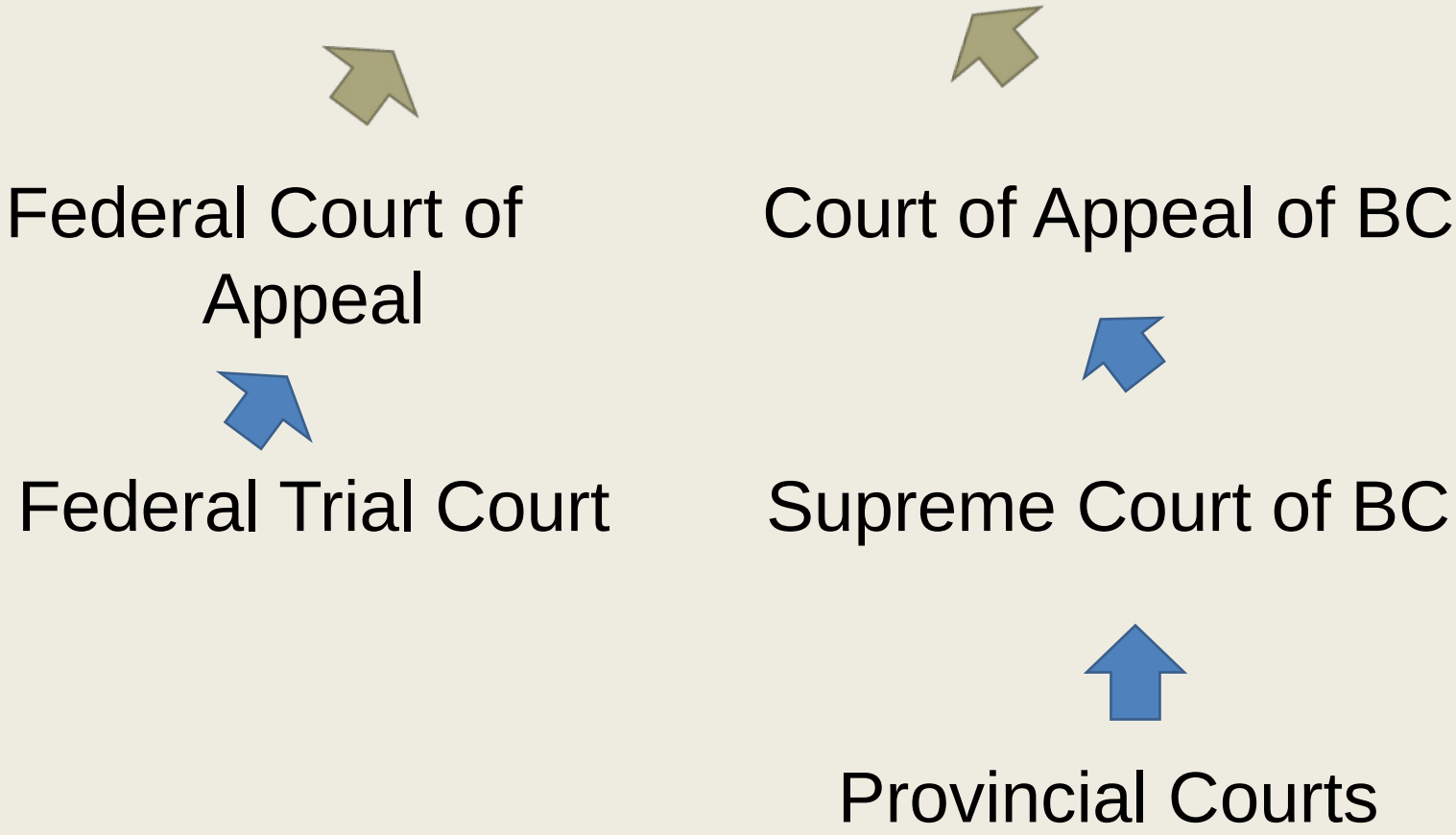
- Decision cannot be appealed to the courts (because of Provincial arbitration statutes)
  - although procedures followed may be reviewed by the courts
    - was there “due process”??

- Advantages: process is private, faster, less costly than litigation,
- but more formal and more adversarial than mediation

The Court System – for Litigation

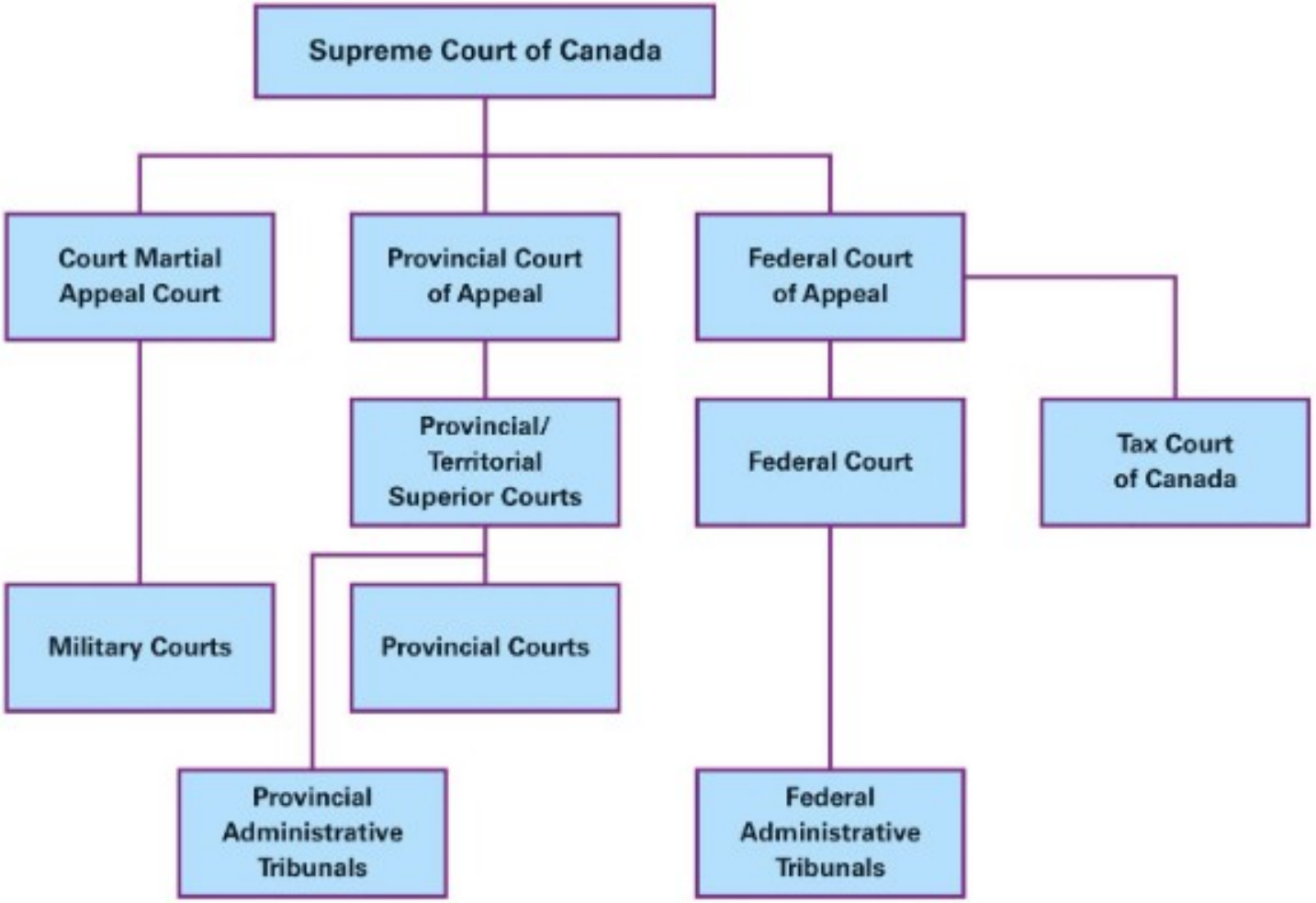


Courts Hierarchy



Outline of Canada's Court System

Figure 3.1 Outline of Canada's Court System



Trial Courts of the Provinces

- Provincial Court:
  - **Lowest level** in the Canadian court hierarchy
  - Criminal jurisdiction over the less serious criminal matters
  - **Small claims courts** ($35,000) and family court ar separate bodies but a division of Provincial Court system
- Superior court of a province:
  - **Highest trial level court**
  - **Unlimited monetary jurisdiction** in civil matters a deals with serious criminal issues
  - Administration of wills and estates and bankruptcy

Recent Developments

- **Civil Resolution Tribunal (CRT)** – online, up to **$5,000** - http://www.smallclaimsbc.ca/crt-claims-up-to-5000
- Drug treatment courts
- Domestic violence courts
- Unified family courts
- Mental health courts
- Indigenous courts
- Sentencing circles
  - used primarily for cases involving cases involving Indigenous offenders and victims
- Nunavut Court of Justice

Provincial Courts of Appeal

- **Highest level court**
- Appellate courts hear **appeals from the lower courts** of that province
- An appeal court will consider a case only when **questions of law** are in dispute, not questions of fact
- Not a new trial (usually)
- Appeal court judges
  - Read the transcript of the trial as well as the trial judge's decision
  - Deal with the specific objections to the trial judge's decision submitted by the appellant's lawyers

Courts at the Federal Level

- Federal Court and the Federal Court of Appeal serve a function similar to that of the provincial superior courts
- Tax Court of Canada was established to hear disputes about federal tax matters
- **Supreme Court of Canada**:
  - **Highest court in the country**
  - **Strictly appellate** function
  - Nine judges appointed by the Government of Canada
  - **Decisions set binding precedent**

Court's Criminal Function (public law)

- R. v. Accused
- In criminal cases, the Crown (state) prosecutes the Accused who is convicted only when state proves the case beyond a reasonable doubt

- Victims of crime are merely witnesses at the trial
- The court assesses and enforces penalties
- Victims are not usually compensated $ for their injuries



Court's Civil Function (private law)

- Plaintiff v. Defendant
- Private individuals ask the court for remedies for civil wrongs or to reject claims for civil wrongs.
- Court's decision is based on balance of probabilities
- Court assesses liability, finds fault, holds one party responsible and gives a judgment.
  - and can enforce judgment too.
- Plaintiff can win $$ compensation from defendant, or Plaintiff can lose so claim is rejected or dismissed.



Civil & Criminal Standards of Proof

- Civil standard of proof

On a balance of probabilities

B.O.P.



- Criminal standard of proof

Beyond a reasonable doubt – B.A.R.D.



How to Enforce Your Rights

- You may wish to go to court and get help from a judge.

If a civil wrong has been done to you, what procedures will you use to start a lawsuit?

Lawsuit Procedure (Pre-trial)

- Are you allowed to sue?
  - Check the Limitation periods and deadlines
    - You might be too late!
- Jurisdiction? – Where do you sue?
  - - Where the Defendant resides or where the harm occurred a “real and substantial connection” with factors that link the litigation to the court

  Which Court? - How much money is at stake?

  - Provincial Court - Small Claims Court for up to $35,000 maximum

  - Supreme Court of BC for unlimited $$

- Try “self help” Negotiation



Pre-Trial Procedure With Help From Lawyer

- Send a Demand letter to Defendant
  - "You harmed the Plaintiff.....we demand you pay...."

- File Pleadings in Court Registry
  - Notice of Civil Claim – Plaintiff's side
  - Response to Civil Claim – Defendant's side
  - Counterclaim – Defendant says "right back at you!!"
- Chambers Applications
- Discovery
  - Of documents
  - Examination for discovery of parties – under oath
  - Payment into court

Lawsuit Procedure (Trial)

- Plaintiff presents case
  - Direct examination of witnesses
  - Cross examination by Defendant

- Defendant presents case
  - Direct examination of witnesses
  - Cross examination by Plaintiff

- Rules of Evidence used

  (e.g. general rule against hearsay)



Lawsuit Procedure (Judgment)

- Judge makes findings of fact and applies the relevant law: cases and statutes
- Reaches his or her decision, gives reasons and gives a judgment.
- If the Plaintiff wins, the remedies awarded can be:
- Damages $$ (monetary compensation)
  - General Damages are for pain & suffering, wage loss
  - Special Damages reimburse expenses caused
  - Punitive damages are to 'punish' high handed conduct
- An Accounting, an injunction, specific performance
- Costs – a contribution towards the winner's legal fees.

Remedies

- **Damages** (monetary compensation)
  - **Special**: reimburse the litigant for expenses or costs incurred before the trial
  - **General**: pain and suffering or for future lost wages
  - **Punitive**: not to compensate the victim but rather to punish the wrongdoer
- Other remedies
  - Accounting
  - Injunction
  - Specific performance
  - Declaration

Lawsuit Procedure (After-Trial)

- Examination in aid of execution
  - To find out about assets to get
- Seizure of property – take stuff
- Garnishment– get $ from wages
- Injunction – an order to stop…

The Start of a Lawsuit
Plaintiff Files a

Notice of Civil Claim
(next four slides)

FORM 1
(RULE 3-1 (1))

No. 78658/Yr+1
Vancouver (Robson Square) Registry

In the Supreme Court of British Columbia

Between

YAKIMA IMPORTS LTD., **Plaintiff**

and

BRIAN BELSTEAD

Defendant

NOTICE OF CIVIL CLAIM

[Rule 22-3 of the Supreme Court Civil Rules applies to all forms.]
This action has been started by the plaintiff(s) for the relief set out in Part 2 below.
If you intend to respond to this action, you or your lawyer must
(a) file a response to civil claim in Form 2 in the above-named registry of this court within the time for response to civil claim described below, and
(b) serve a copy of the filed response to civil claim on the plaintiff.
If you intend to make a counterclaim, you or your lawyer must
(a) file a response to civil claim in Form 2 and a counterclaim in Form 3 in the above-named registry of
this court within the time for response to civil claim described below, and
(b) serve a copy of the filed response to civil claim and counterclaim on the plaintiff and on any new parties named in the counterclaim.

JUDGMENT MAY BE PRONOUNCED AGAINST YOU IF YOU FAIL to file the response to civil claim within the time for response to civil claim described below.

Time for response to civil claim

A response to civil claim must be filed and served on the plaintiff(s),

(a) if you were served with the notice of civil claim anywhere in Canada, within 21 days after that service,

(b) if you were served with the notice of civil claim anywhere in the United States of America, within 35 days after that service,

(c) if you were served with the notice of civil claim anywhere else, within 49 days after that service, or

(d) if the time for response to civil claim has been set by order of the court, within that time.

CLAIM OF THE PLAINTIFF(S)

Part 1: STATEMENT OF FACTS

1. The Plaintiff, Yakima Imports Ltd. is a company incorporated in the State of Washington whose registered office is 4673 Alabama Road, Bellingham, Washington, 96532.

2. The Defendant, Brian Belstead is a businessman who resides at 2137 West 4th Avenue, Vancouver, British Columbia, V4N 6T3.

3. The Plaintiff and the Defendant entered into a written contract on or about September 6, Yr0 in Vancouver, British Columbia ("the contract") the terms of which, inter alia, provided that the Plaintiff would sell and the Defendant would purchase USD$65,000 worth of aluminum cookware manufactured in Indonesia ("the cookware") to be delivered to the Defendant on or before December 12, Yr0.

4. On November 27, Yr0, the Plaintiff through its agent in Vancouver notified the Defendant by telephone that the cookware had arrived from Indonesia and was ready for delivery to the Defendant.

5. Immediately on notification, the Defendant informed the Plaintiff's agent that he would not take delivery of the cookware and would not pay for the cookware.

6.The Plaintiff's agent notified the Defendant to the same effect by telephone and email and sent to the Defendant a similar notification by double-registered post on December 2, Yr0. The Defendant has never replied.

7. The Plaintiff elected to terminate the contract on December 6, Yr0 but despite its best efforts has been unable to resell the cookware to another buyer.

Part 2: RELIEF SOUGHT

1. Damages for breach of contract;

2. Interest;

3. Costs.

Part 3: LEGAL BASIS

1. The Plaintiff says that, as a result of the above, the Plaintiff has breached or is in anticipatory breach of the contract.

2. As such, the Plaintiff has suffered damages in the amount of USD$65,000 plus the costs of warehousing the cookware less any amount it may have, but has not yet, received by way of mitigation when it resells the cookware.

(1) The plaintiff's ADDRESS FOR SERVICE is: 201-700 Hornby Street, Vancouver, BC V6Z 2E1
(2) Fax number for delivery (if any): 604-263-7854

(3) The name and office address of the plaintiff's solicitor is: Baldry and Beaudoin, 201-700 Hornby Street Vancouver, B.C.
(4) Place of Trial: Vancouver, British Columbia
(5) The address of the registry is: 800 Smithe Street, Vancouver, BC V6Z 2E1

May 19, Yr+1 ***Michelle Beaudoin*****, Plaintiff's Solicitor**

Rule 7-1 (1) of the Supreme Court Civil Rules states:
(1) Unless all parties of record consent or the court otherwise orders, each party of record to an action must, within 35 days after the end of the pleading period,
(a) prepare a list of documents in Form 22 that lists
(i) all documents that are or have been in the party's possession or control and that could, if available, be used by any party at trial to prove or disprove a material fact, and
(ii) all other documents to which the party intends to refer at trial, and
(b) serve the list on all parties of record.

Class Actions

- Identifiable class of persons with a **similar type of injury from the same defendant**
- Reduces the number of lawsuits and **avoids inconsistent results**
- Lowers costs for parties and court system
- **Court must certify the litigation as a class proceeding** and appoint a representative plaintiff
- Judgment binds every member of the class

Administrative Law (public law)

- The rights of people facing an administrative tribunal are covered by administrative law

- An administrative tribunal is created by statute.
- Along with an entire regulatory system or body of rules

- e.g. the Workers Compensation system and the Workers Compensation Board that is set up under the Workers Compensation Act

  If a worker is injured on the job in BC, it is a no-fault system that takes away the worker's right to sue the employer.

  - And replaces it with compensation under WCB.



Regulatory Role of Government

- Executive branch of government is responsible for these regulatory bodies set up by legislation or statutes or Acts.

- Government officials must rely on legislation to authorize their acts (*the rule of law*).

- They cannot infringe a person's rights by virtue of their position.

Resolving Complaints Against Regulatory Agencies

- Complaints against the actions of regulatory agencies are usually heard by administrative tribunals.
- Decision-making panels with specific expertise
- More discretion than judges
- More efficient, quicker and cheaper

- Administrative tribunals (e.g. Workers Compensation Board) must function according to the *rules of natural justice*

-

Rules of Natural Justice

- Claimant is entitled to a Fair hearing

  -- complainant must have reasonable notice of the hearing

  -- opportunity to see and respond to all evidence

  -- opportunity to be heard (produce evidence, witnesses)
- Heard by decision maker - the people making the decision must be the same ones hearing the evidence
- Impartiality - no bias on part of decision makers
- (Rules of evidence and procedure used in court need not be adhered to; sometimes depends on rules of the tribunal or the particular circumstances)
- If complainant can show she did not get a fair hearing she can apply for "Judicial Review" by the courts